

Introduction to Macroeconomics (S102016CR)

Spring Semester

<https://moodle.unige.ch/course/view.php?id=6618>

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Friday session:
For Weeks 10, 11 and 12

Q&A sessions

Tuesday May 19 at 10:15 am in room MR070
and on Zoom: unige.zoom.us/my/olarreaga

Thursday May 28 at 9:30 am on Zoom:
unige.zoom.us/my/olarreaga

Mock exams

Two mock exams available on Moodle from Monday 25 May at 8h00 to Sunday 31 May at 23h59:

- a) one for Parts I and II (same as before)
- b) one for Parts III and IV

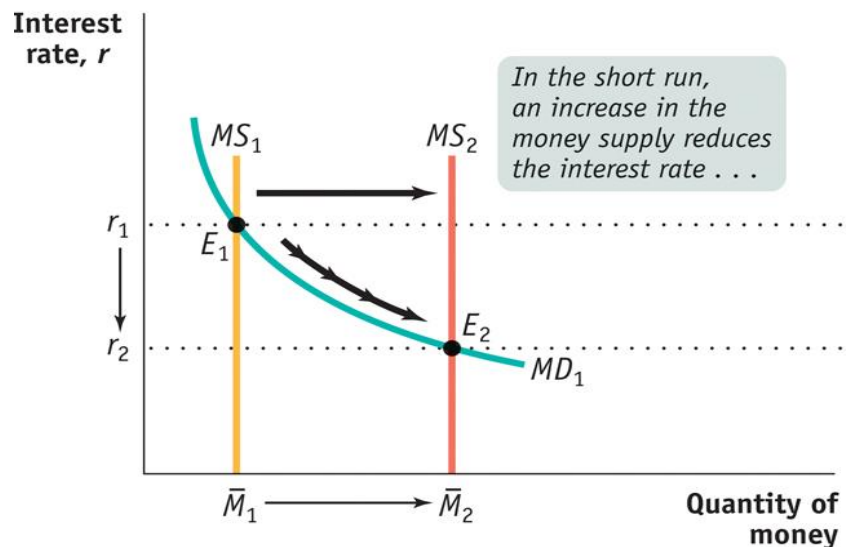
Reconciling the determination of interest rates

- In weeks 4 and 9 we saw that the interest rate is determined in the market for loanable funds (savings = investment (+ NC0))
- In week 10, we saw that the interest rate is determined in the market for money (model of liquidity preferences)
- Which is it? Both
- In the short run, if money supply increases, then the interest rate falls in the market for money. This leads to an increase in income and, therefore the supply of loanable funds. This leads to a decline in the interest rate in the loanable funds market, which matches the decline of the interest rate in the market for money ($S=I$).
- In the long run, prices will increase (quantitative theory of money). Therefore, money demand will increase, which leads to an increase in the interest rate back to its original level in the market for money. In the market for loanable funds, real income goes back to its original level (long-run level), and the supply of loanable funds contracts.

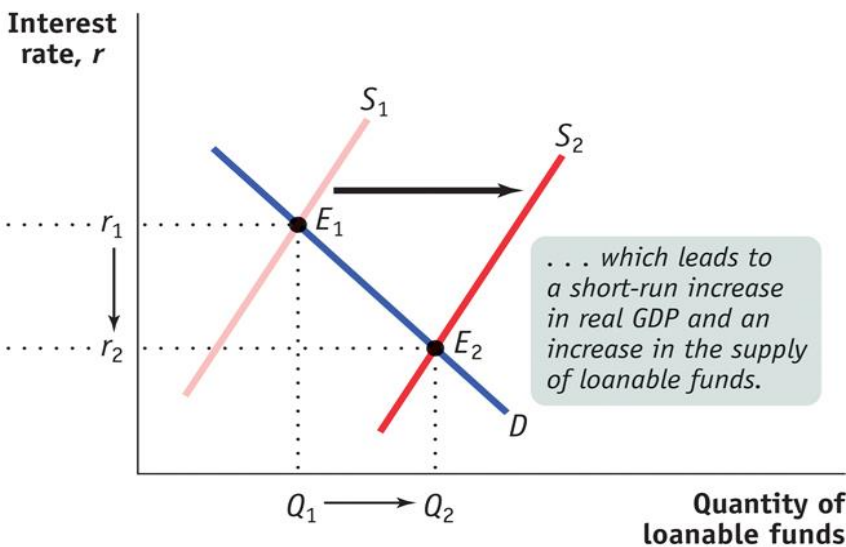
Reconciling the two interest rate models

Short-run

(a) The Liquidity Preference Model of the Interest Rate

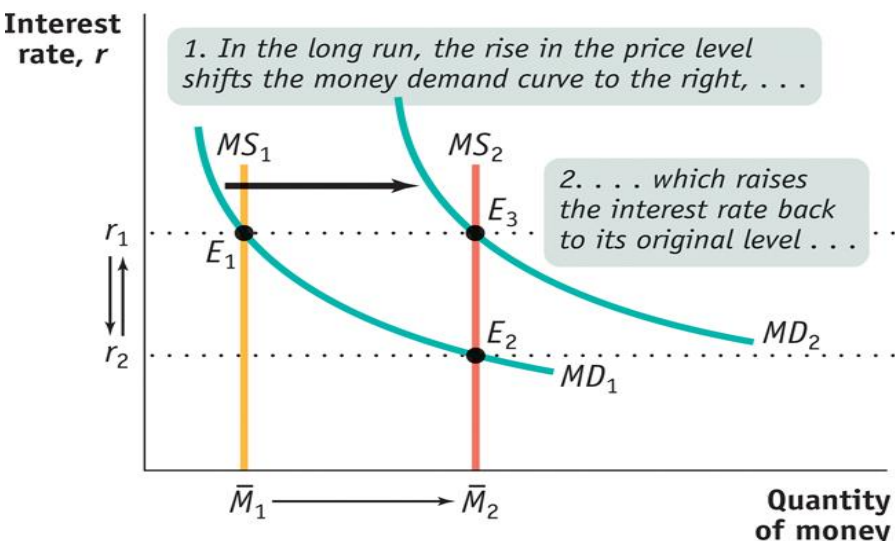


(b) The Loanable Funds Model of the Interest Rate

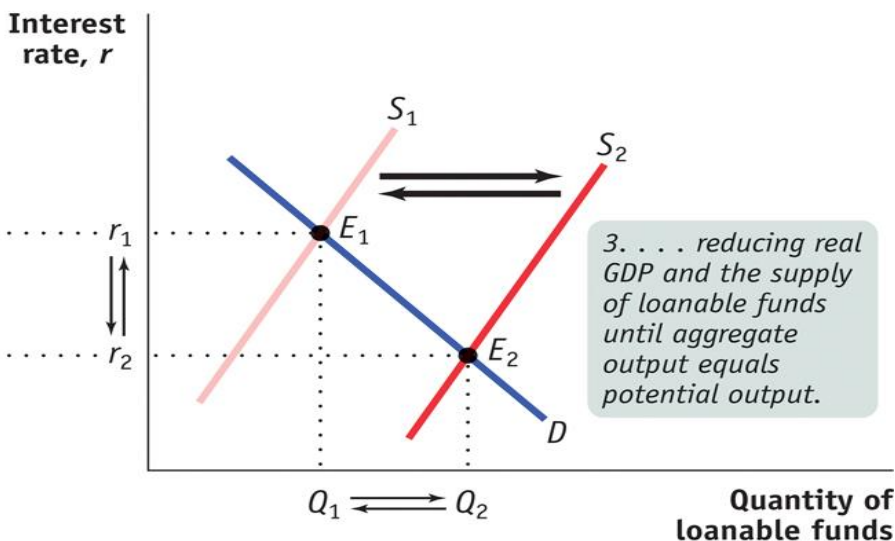


Long-run

(a) The Liquidity Preference Model of the Interest Rate



(b) The Loanable Funds Model of the Interest Rate



Deriving the Keynesian multiplier of government expenditure

$$Y = C(Y-T) + I + G$$

Deriving the Keynesian multiplier of lump-sum taxes

$$Y = C(Y-T) + I + G$$

Deriving the Keynesian multiplier of balanced budget

$$Y = C(Y-T) + I + G$$

Deriving the Keynesian multiplier with income taxes

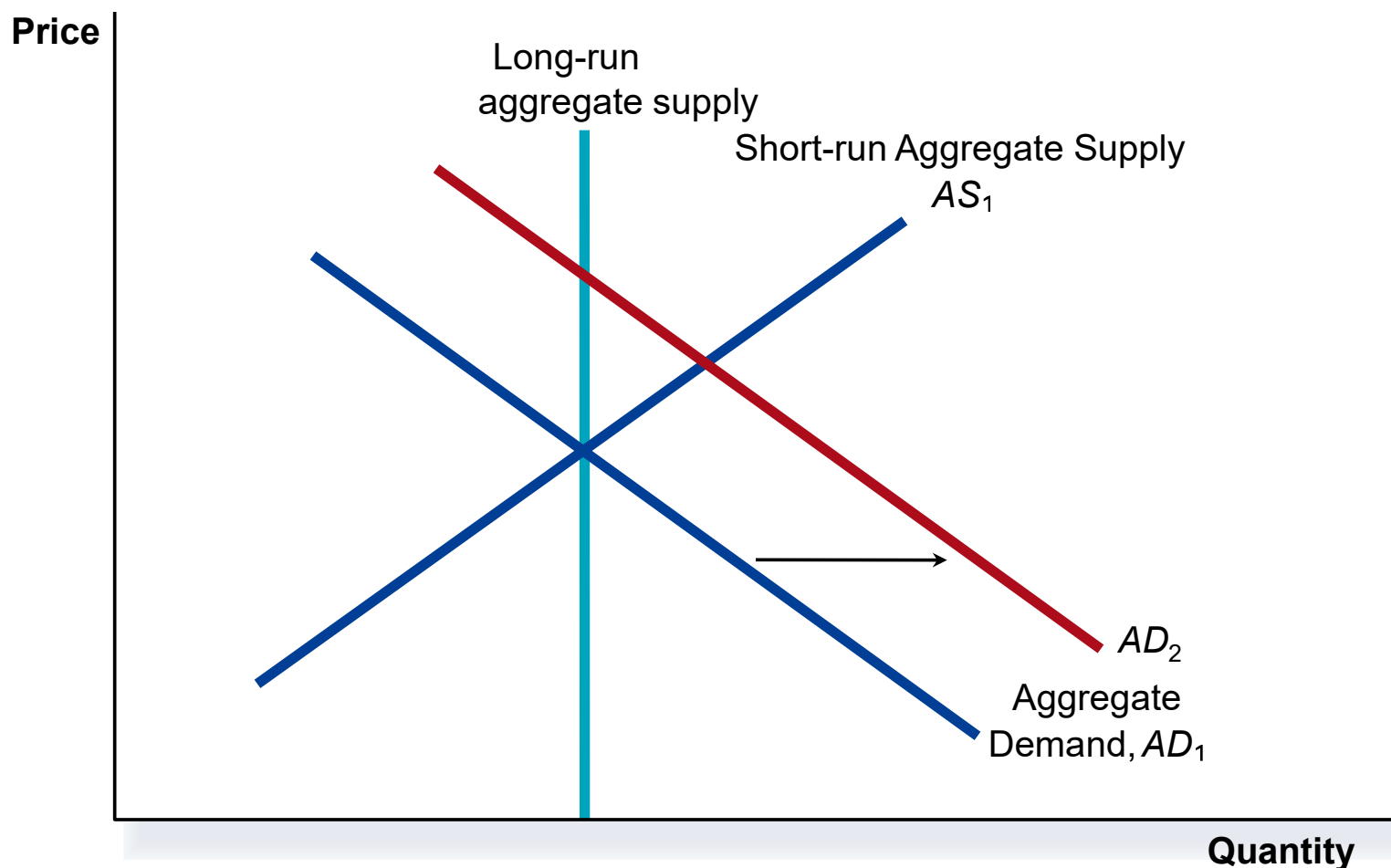
$$Y = C(Y - t^*Y) + I + G$$

Deriving the Keynesian multiplier in an open economy

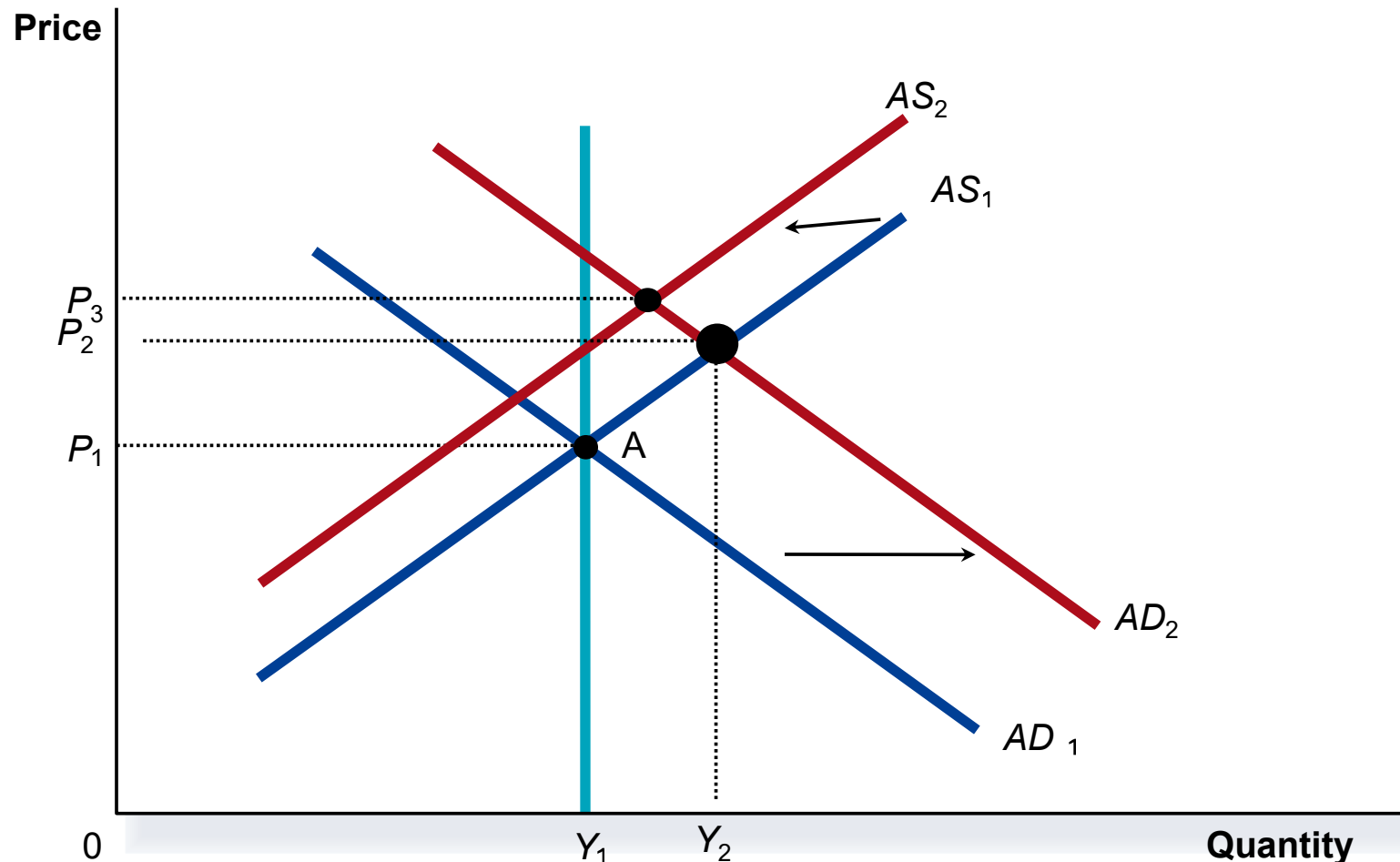
$$Y = C(Y-T) + I + G + X - M(Y-T)$$

The 2007-2009 Great Recession

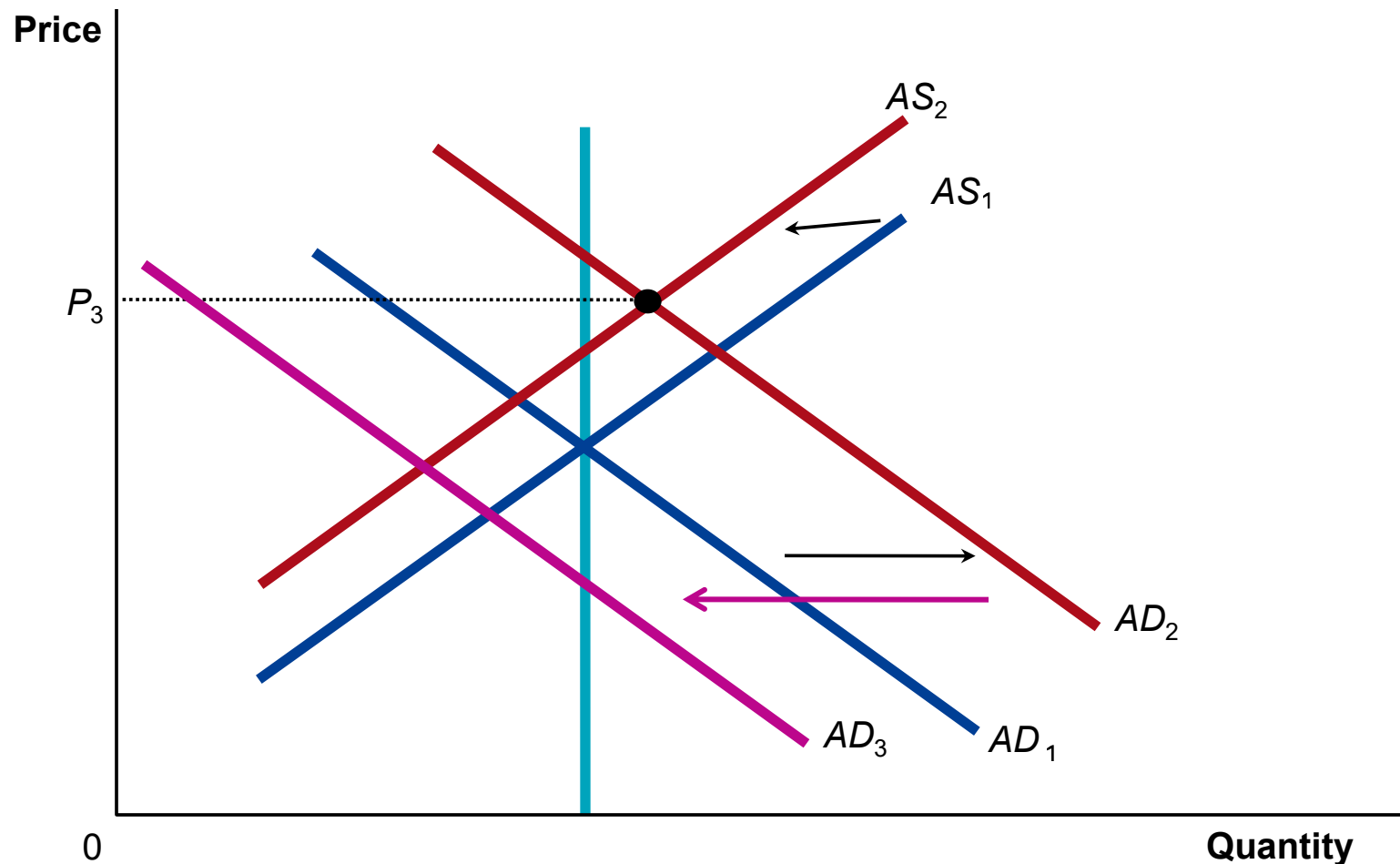
- In the years 2002-2007 economic activity was boosted by cheap credit in the US:
 - Increase in the money supply in the US following dot-com bubble and 11/11/2001.
 - High commodity prices + China's growth: NCO from emerging economies rise fast
 - Financial innovations (collateral debt obligations) provides also cheap credit.



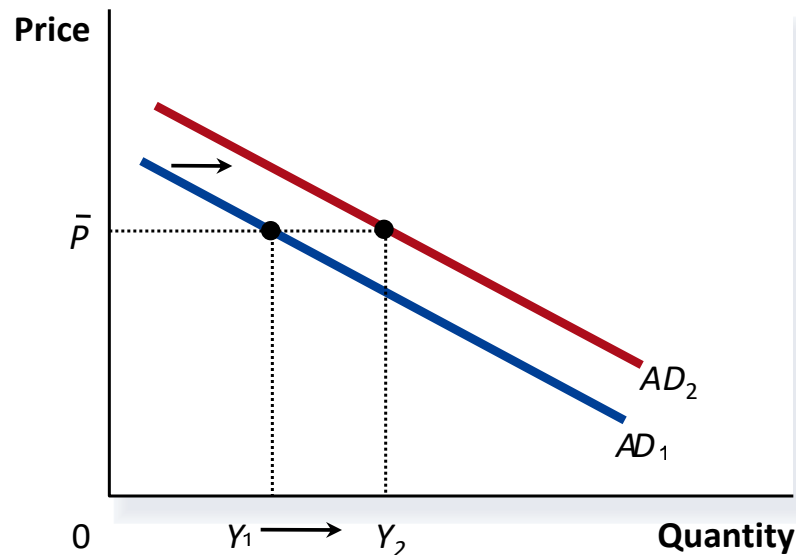
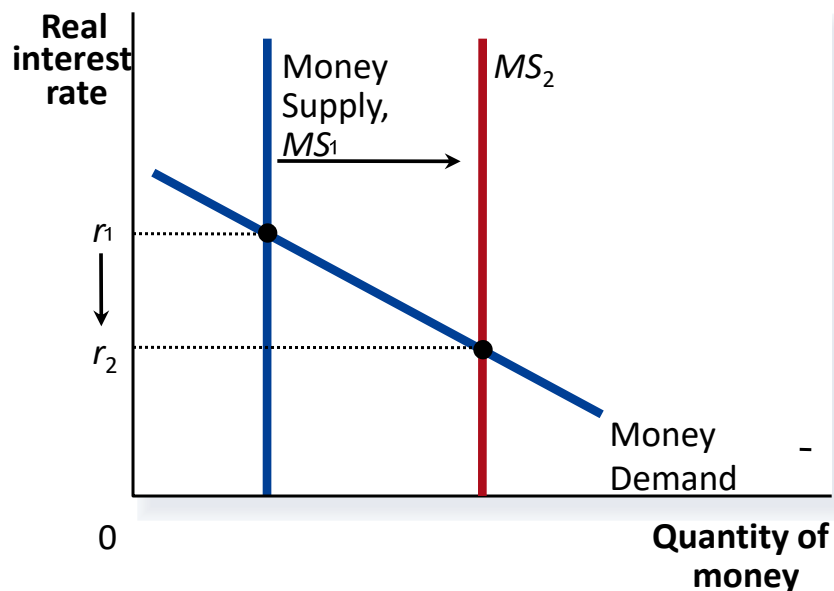
The economic acceleration led to an increase in price expectations by 2007 (intersection of the new demand with the long run supply), which led to a contraction of the short-run aggregate supply, leading to even higher prices....



The Fed starts worrying about inflation and between May 2004 and July 2006 the Fed rate went from 1% to 5.25%. This leads to a decline in aggregate demand which breaks the housing price bubble, leading to a further decline in investment (as returns to investment in housing declined), and financial innovations like CDOs turned out to be very very risky.....



The monetary response: the Fed tries to answer back with a new monetary expansion (in December 2008 Fed rate was at 0%).



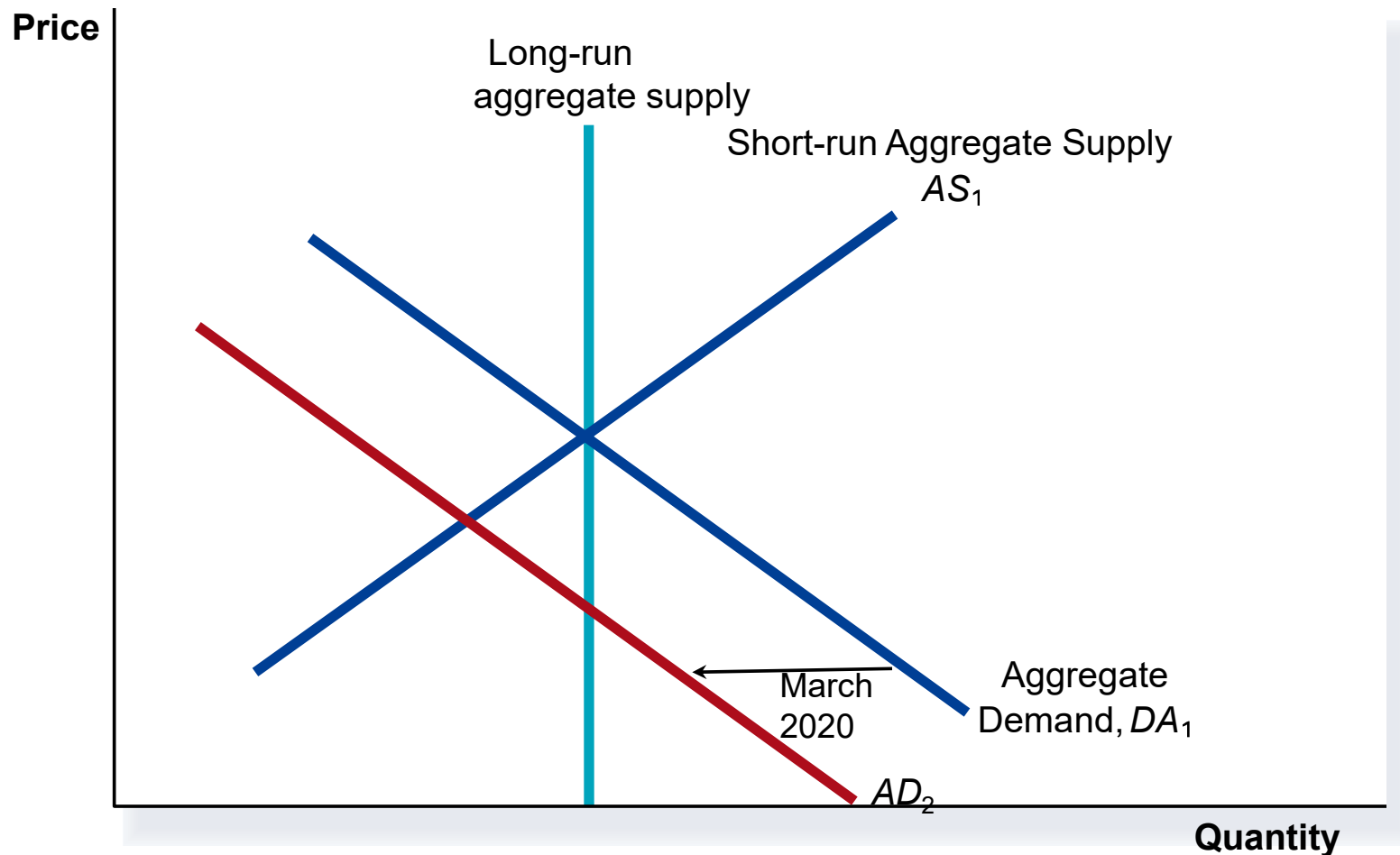
- But this time, money demand is perfectly elastic. We are in a **liquidity trap** and everyone prefers to keep its holdings in cash, and therefore aggregate demand does not react...
- Why is money demand perfectly elastic? A financial crisis accompanies the housing market crisis, and nobody trusts the financial system anymore. Important financial institutions (like Bear Stearns and Lehman Bros) go bankrupt. Who is next? Nobody understands CDO or CDS, and nobody knows how to value them anymore. From triple AAA to junk bonds in weeks...

We are therefore left with the **fiscal response**. But:

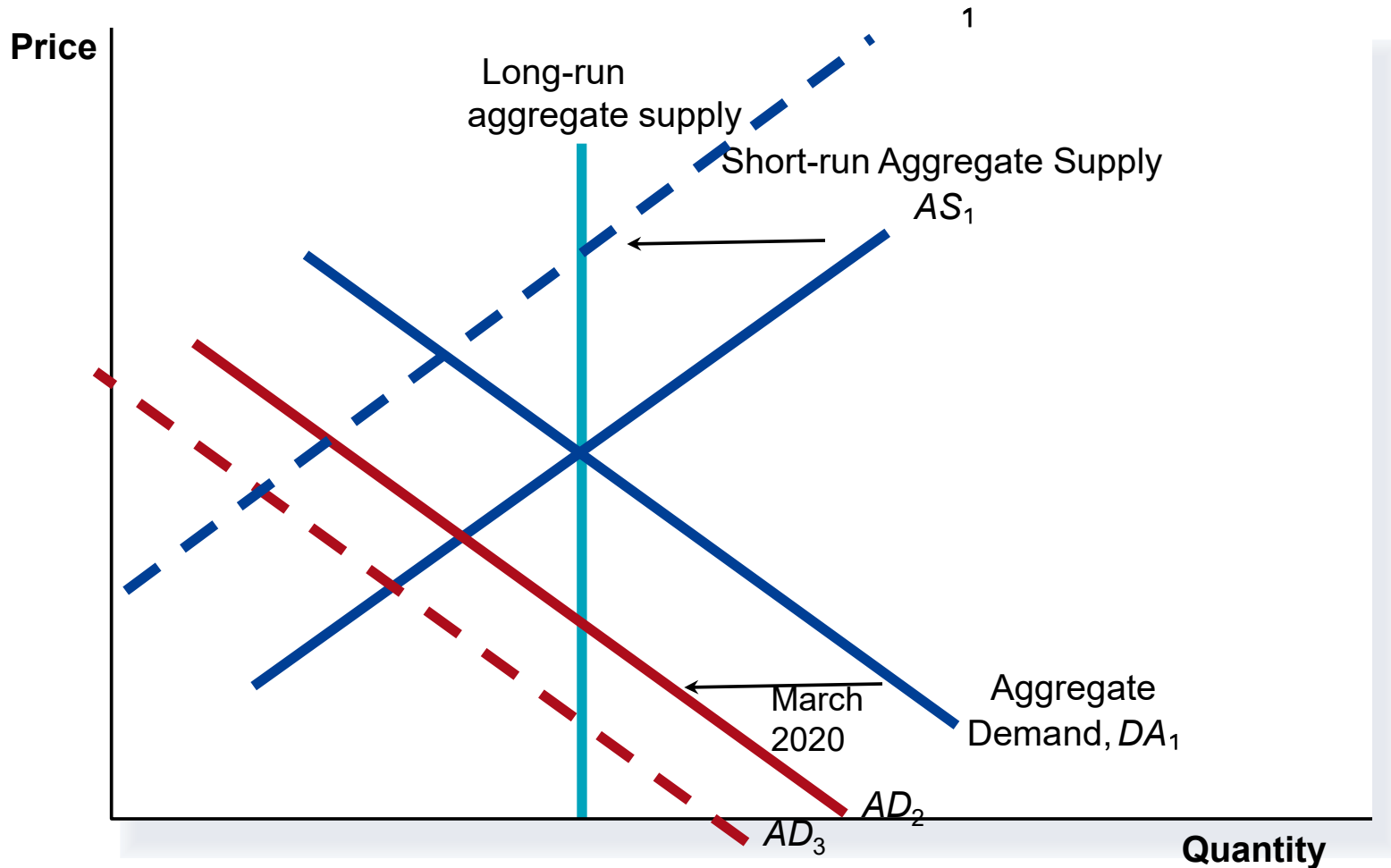
- 1) But we need a quick response so it is not counter-cyclical.....
- 2) The Keynesian multiplier is becoming smaller as the crisis progresses because consumers start saving more for precautionary reasons, i.e., the mpc declines (ok, but mpc increases when interest rates are super low – liquidity trap)
- 3) Critics (e.g., Barro, Lucas) argue that the crowding-out of private investment will be too large and, therefore, the fiscal response is not worth it...(Which crowding-out when nobody is investing??). There is also evidence that crowding out is smaller and the Keynesian multiplier larger when countries can borrow abroad (open capital account).
- 4) In open economies, the fiscal response will help the economies of our trading partners as imports increase. So we pay to get the rest of the world going. In other words, there is a positive externality and in a world with positive externalities there is going to be too little provision for this « good » (the fiscal response)...

The 2020-2021 Great Lockdown

- Beckaert, Engstrom and Ermolov (2020):
<https://www.federalreserve.gov/econres/feds/files/2020049pap.pdf>



- But by June 2020, the Great Lockdown led to a strong negative aggregate supply shock accompanied by a smaller aggregate demand shock



The Exam

Material covered

- All that has been seen in class or seminar
- The companion chapters in M&T or K&W if the material was covered in class or seminar
- No surprises in terms of material covered
- No differences between the English and French exams (apart from language).

Type of exam

- 2 hours
- 30 MCQ with 4 possible answers. No penalties → Answer all questions
- There will be 6 to 8 questions on the first part of the course, 6 to 8 questions on the second part, 6 to 8 questions on the third part, and 6 to 8 questions on the fourth part.
- Over the entire exam
 - 1/3 of the questions will require some simple calculus
 - 2/3 of the questions will be analytical
- A two-sided A4 page of personal notes and a non-programmable calculator are allowed

Examples of exam questions for weeks 10, 11 and 12

votamatic.unige.ch

code d'accès: VZMW



<https://votamatic.unige.ch/form/SIZRr8TX2FgMkKxrF012>